
ICELAND 2006

1. Overview of the system

Iceland has an insurance-based unemployment benefit system. Two kinds of housing benefit programmes are in existence. One, there is a rent benefit for tenants with low income and two, mortgage interest benefits are open to home owners. Means-tested family benefits are available to parents. The social security administration provides benefits for single parents providing for two children or more. Financial assistance is available from local governments for those without other resources and that do not qualify for benefits from the central government and/or the social security system.

1.1. *Average worker wage (AW)*

The 2006 AW level is ISK 4 596 000.

2. Unemployment insurance

2.1 *Conditions for receipt*

In order to qualify for unemployment benefits, one has to be between 16 and 70 years of age, willing and available to work and be able to confirm the unemployed status by means of a letter from the labour exchange. Applicants must have worked at least 10 weeks in a full-time job to qualify for any benefits. The qualifying period for part-timers lengthens proportionally. They must have been registered unemployed for at least three days, but receive benefits from the first day. In order to qualify for full benefits, applicants must have worked for the last 12 months in a full-time job.

2.1.1 *Employment conditions*

Ten weeks of insured employment to qualify for full benefits. Applicants must have worked for the last 12 months to qualify for full benefits.

2.1.2 *Contribution conditions*

Coincide with the employment conditions.

2.2 Calculation of benefit amount

2.2.1 Calculation of gross benefit

Benefits are paid in proportion to the number of hours worked in insured employment in the previous 12 months¹:

- Full benefit of ISK 5 123 per day (5 days per week) is paid to those who have worked for 2 080 hours or more (average of 40 hours per week).
- For those who have worked for between 400 and 2 080 hours, there is a scale defined with 76 steps, from 25 per cent to 100 per cent of the benefit rate, each step representing 1 per cent of the full benefit.
- A minimum benefit of ISK 1 281 per day is paid to those who have worked for 400 hours (25 per cent of full benefits).

There is also a family supplement of ISK 205 per day (4 per cent of full benefits) per dependent child below 18 years of age.

In the course of 2006, legislation was passed that introduced the linkage of unemployment compensation to employment income in such a way that the applicant for unemployment compensation is entitled to 70 per cent of his average employment income for up to three months, subject to a maximum of 185,400 ISK per month. For the first ten days of unemployment the unemployed person receives the basic amount stated above. After that he is entitled to 70% of his income in his previous employment (average income in the six month period ending two months prior to unemployment), subject to a maximum of 185,400 ISK monthly, for a period of three-months beginning on day 11 of unemployment. After that he is only entitled to the basic benefit amount as in the first 10 days of unemployment for the remainder of his entitlement period.

2.2.2 Income and earnings disregards

None; there is no income test. If a recipient has occasional employment for one or two days at a time, benefit is reduced in proportion to the number of hours worked.

2.3 Tax treatment of benefit

Benefits are subject to general income tax.

2.4 Benefit duration

Benefits are paid for a maximum of three years. Previously the maximum had been five years.

2.5 Treatment of particular groups

2.5.1 Young persons

None.

2.5.2 Older workers

None.

3. Unemployment assistance

Some local governments offer retraining courses to unemployed persons. The cost is either shared or fully paid by the central government's Unemployment Insurance Fund. .

4. Social assistance

A need-based subsistence benefit is paid as a last resort by local governments.

4.1 Conditions for receipt

To qualify, persons must be fully or partially unqualified for benefits from the central government or the Social Security Institute.

4.2 Calculation of benefit amount

4.2.1 Calculation of gross benefit

Financial assistance is the difference between the needs (the applicable amount) and the claiming household's resources. The applicable amount for the capital, Reykjavik, is shown below. Note that rates differ regionally.

Size of household	Applicable amount: recommended minimum monthly rate (in ISK)
Single persons	87 615
Couples	140 184

Assistance for dependent children is considered on a case-by-case basis. The resources include all gross family income. Excluded is income of children and all benefits paid in respect of children such as child support, family benefits, and rent benefits. Unemployed youth aged 18-24 living with low-income parents are entitled to up to half assistance. In addition there are grants/loans available to beneficiaries of assistance to meet various expenses, such as funeral costs, dental bills, etc.

4.2.2 Income and earnings disregards

There are no disregards; there is a one-to-one means test including all gross family income.

4.3 Tax treatment of benefit

Subject to general income tax.

4.4 Benefit duration

Unlimited.

4.5 Treatment of particular groups

None.

5. Housing benefits

There are two schemes for housing benefits, one for tenants and one for home owners. A) Rent benefits are available to households renting accommodations as long as no household member owns any other real estate. The central government finances the rent benefits partially but local authorities administer the benefits. The cost of mortgage interest rebate is borne by central government. B). Home owners can receive interest rebates to offset their mortgage payments.

5.1 Conditions for receipt

Rent benefits are available to tenants with a certified rental agreement of at least 6 months' duration. The rented accommodation must be a self-contained unit, such that e.g. rooms in dormitories on campuses are excluded. Rent benefits are means-tested. Rent benefits are targeted on low-income tenants and are therefore subject to an income test.

Mortgage interest rebate is open to all home owners with mortgage payments but is subject to limits on net assets, total mortgage liabilities and a maximum interest payment amount.

5.2 Calculation of benefit amount

5.2.1 Calculation of gross benefit

Rent benefit. The rent benefit² is a fixed amount per claiming household of ISK 8 000 per month, with additional ISK 7 000 per month for one dependent child, plus ISK 6 000 per month for a second child, plus ISK 5 500 per month for the third and additional children. The children must have a legal residence in the rental home. In addition, 15 per cent of the rent above ISK 20 000 and below ISK 50 000 is added to the above amounts. One per cent of the household's previous year's taxable income in excess of ISK 2 000 000 of all household members 20 years or older is deducted in each month of payment of the rent benefit and 25 per cent of the household's net wealth exceeding ISK 4 119 494 is counted as income in this respect. The final rent benefit can never be higher than ISK 31 000 per month or half of paid rent, whichever is lower. For the purposes of this study, the persons are assumed to have been working at the same earnings level, and full time, in the previous year³.

Mortgage interest rebate. This programme is in effect a part of the tax system, and replaced deductibility of interest payment a long time ago. The rebate is based on interest paid on a home purchase loan. The following constraints apply to interest rebates paid in 2006, based on tax returns for 2005: (1) They can not exceed 5 per cent of the remaining debt balance incurred in buying a home for one's own use. (2) The maximum amount of interest payments that qualify for an interest rebate calculation is 494,782 krónur for an individual, 649,544 krónur for a single parent and 804,304 for a couple. (3) Six per cent of taxable income is subtracted from the interest expense. (4) The rebates begin to be curtailed at a net worth threshold of 3,721,542 krónur for a single individual and 6,169,097 krónur for a couple and are eliminated altogether at a 60 per cent higher amount. (5) The maximum amounts of interest rebates are 169,541 krónur for an individual, 218,042 krónur for a single parent and 280,372 krónur for a couple⁴.

5.2.2 Income and earnings disregards

Full rent benefits are paid to families with combined annual income of up to ISK 2 million. 1 per cent of income in excess of this threshold would be deducted from benefits.

5.3 Tax treatment of benefit

Rent benefit. Not taxed.

Mortgage interest rebate. Not taxed. Administered and paid through tax authorities.

5.4 *Treatment of particular groups*

5.4.1 *Young persons*

None.

5.4.2 *Older workers*

None.

6. Family benefits

Means-tested benefit for dependent children. A basic allowance for each child under the age of 7, not linked to income.

6.1 Conditions for receipt

To have a dependent child under 16 years of age.

6.2 Calculation of benefit amount

6.2.1 Calculation of gross benefit⁵

The benefit amount per child and income limits depend on the household composition.

<i>Amounts paid in the stated year, based on income in the previous year (ISK)</i>	2004	2005	2006	2007
For all children under the age of seven	36 308	37 397	46 747	56 096
Children under the age of sixteen:				
First child	123 254	126 952	139 647	139 647
Each additional child	146 713	151 114	166 226	166 226
Benefits for single parents:				
First child	205 288	211 447	232 591	232 591
Each additional child	210 854	216 902	238 592	238 592
Income threshold for benefit curtailment:				
For couples	1 444 139	1 487 463	1 859 329	2 231 195
For a single parent	722 070	743 732	929 665	1 115 598
Curtailment of benefits:				
For one child	3%	3%	3%	2%
For two children	7%	7%	7%	6%
For three children or more	9%	9%	9%	8%

6.2.2 Income and earnings disregards

The allowance based on 2006 income for parents with one child is reduced by 2 per cent of income above the income limit, by 6 per cent for parents with 2 children and by 8 per cent for parents with 3 or more children.

6.3 Tax treatment of benefit

Not taxable.

6.4 Treatment of particular groups

See below for treatment of single parents.

7. Childcare for pre-school children

Pre-schools are available to all children who have not reached the age at which compulsory school begins, i.e. in autumn of the year in which the child turns six. However, very few pre-schools accept children less than one year old, and the youngest children are usually about two years of age. Before that they may be cared for by daymothers.

7.1 Out-of-pocket childcare fees paid by parents

Local municipalities pay for the construction and the operation of pre-primary schools. Parents contribute a substantial amount towards operating costs at the pre-primary level. The share that the parents contribute varies from municipality to municipality and often depends on the circumstances of the parents like in some municipalities' single parents and students pay substantially lower fees than others and some offer reduction to parents who have two or more children attending schools at the pre-primary level. On the whole, parents contribute about a third of the operating costs of pre-primary schools.

The tariff of Reykjavík pre-schools depends on the number of hours and on the economic status of the parents. The tariff is divided into three categories:

I. General tariff, married parents and parents who live together.

II. One parent is a student or one parent is an invalid. The Icelandic Government Student Loan Fund has issued some guideline rules as to which studies are considered valid, like the student should take at least 75 per cent of full time University hours and 100 per cent in cases where the student is specializing in a certain field. Students at the University of Iceland should take at least 11 credit hours each semester. This category is also for fulltime students in junior college and vocational schools. Evening classes are not valid.

III. Single parents. Both parents being students according to the definition of the Icelandic Government Student Loan Fund. Both parents being invalids. Employees of Reykjavik Preschools.

The tariff of Reykjavík preschools (valid January 1 – August 31, 2006)⁶

Hours	Category I	Category II	Category III
4	9.815	7.495	4.775
5	15.475	12.575	9.175
6	17.635	14.155	10.075
7	20.970	16.910	12.150
8	23.130	18.490	13.050
9	25.290	20.070	13.950

Meals are included in this data. Amongst siblings, the second and child pay no tuition, only for meals (5,850 ISK monthly for >6 hours care per day.) There is also a discount for siblings if children in a preschool have siblings in a family day-care or in a private preschool, see the tariff for subsidy of day-care fees.

7.2 *Child-care benefits*

Some municipalities subsidise child-care with day-care parents

7.2.1 *Conditions for receipt*

Generally, the conditions for receiving such a subsidy is that the parent or parents are unable to place their children in pre-schools or day-care centres but must place them with day-care parents.

7.2.2 *Calculation of benefit amount*

The following subsidy applies in Reykjavík in 2006. Subsidies vary from one municipality to another.⁷

Hours of care	Both parents living together	One parent a student	Single parent or both parents studying	Sibling supplement
4	10.800	12.400	16.760	4.380
5	13.500	15.500	20.950	5.475
6	16.200	18.600	25.140	6.570
7	18.900	21.700	29.330	7.665
8	21.600	24.800	33.520	8.760
9	24.300	27.900	37.710	9.855

7.2.2.1 *Calculation of gross benefit*

See above.

7.2.2.2 *Income and earnings disregards*

None.

7.2.3 *Tax treatment of benefit and interaction with other benefits*

Subsidy is not subject to income tax nor does it interact with other benefits⁸.

7.2.4 *Treatment of particular groups*

8. Employment-conditional benefits

None.

9. Lone-parent benefits

Single-parents with two or more children are entitled to additional benefits from the Social Security Administration, the so-called mother/fatherhood allowance

9.1 Conditions for receipt

To be living alone with at least two children under 18 years of age.

9.2 Calculation of benefit amount

9.2.1 Calculation of gross benefit⁹

Lone parent benefits	Yearly amounts
2 children	60 288
3 children	156 744

9.2.2 Income and earnings disregards

The benefit is not income tested.

9.3 Tax treatment of benefit

Subject to general income tax.

9.4 Treatment of particular groups

A support benefit is paid to parents with children that are disabled or suffering from a long-term illness and in need of continuous stay-at-home care. The benefit amounts to 93 000 krónur a month in 2006.¹⁰

10. Tax system

Iceland has proportional tax rates on personal income for central and local government taxes. Capital income is taxed separately, at a rate of 10 per cent.

10.1 Income tax rate schedule¹¹

The PAYE general income tax rate in 2006 is 36.72 per cent of which 23.75 per cent go to the central government and 12.97 per cent to municipalities.

10.1.1 Tax allowances and credits

- *Relief(s) for compulsory pension contributions:* Since January 2000, the compulsory payment by employees to pension funds, amounting to 4 per cent of wages, is deductible. In addition, an optional payment of up to 4 per cent of wages may also be deducted. As the additional 4% contribution is optional, it is considered to be a non-standard relief.
- *Work related expenses:* earnings related transportation costs (net of fringe benefits) are deductible up to a certain limit.
- *There is a basic tax credit of ISK 348 343 per earner.* Married couples may utilise the spouses' unutilised portion of his/her credit. The credit is subtracted from central and local government taxes; unused portions are not refundable. Seamen get an additional tax credit, calculated per diem for number of days at sea. The per diem amount in 2006 is 787 ISK and is credited against the central government tax.
- *Standard marital status relief:* Married couples may utilise up to 100 per cent of each spouses' unutilised portion of his/her basic tax credit.

10.1.2 The definition of taxable income

Category A comprises wages and salaries, including presumptive employment income of the self-employed (see below), employment-related benefits, old-age pensions, social security payments, grants, payments to copyright holders, royalties, etc. *Category B* comprises income from a business and income from an independent economic activity. *Category C* comprises investment income such as dividends, interest and capital gains. Income in category C is taxed at a flat 10 per cent rate with no tax credit.

Individual gross earnings minus allowances.

10.1.3 The tax schedule (see above)

- *Central government:* 23.75 per cent of taxable income, subject to the standard deduction.
- *Local government (average rate):* 12.97 per cent. The local government income tax base is the same as the central government's income tax base.

10.2 Treatment of family income

The tax unit is the individual. Non-wage income of married couples is taxed jointly.

10.3 *Social security contribution schedule*

In 2006, employees pay a fee to the Construction Fund for the Elderly at a fixed annual amount of ISK 6 075 if annual taxable income was above ISK 900 732 in 2006. Persons less than 16 years old and 70 years or older are exempt as well as old-age pensioners or invalids residing in old-age, nursing homes or special care establishments.

Employers pay a social security contribution to the Treasury of 5.79 per cent of their total payroll cost. The proceeds go towards – but do not fully finance – the central government’s costs of old age, disability, health care and childbirth leave, the remainder of the cost coming from general tax revenue.

Pension funds: Employees aged 16-70 years must be members of a pension fund and contribute 4 per cent of their wages, generally deducted on a withholding basis. The employer counter-contributes at least another 6 per cent, although most wage agreements currently stipulate a higher counter-contribution. Both contributions are deductible from income before tax.

In addition, employees can contribute up to 4 per cent of their income to a pension fund on an optional basis and this contribution is also tax-exempt. If an employee chooses to take this option the employer will match the employee’s contribution by 2-4 per cent of the employee’s wages.

11. Part-time work

11.1 *Special benefit rules for part-time work*

Unemployment benefits are paid proportional to the time spent in paid employment. (See section on unemployment benefits.)

11.2 *Special tax and social security contribution rules for part-time work*

None.

12. Policy developments

12.1 Policy changes in 2006

The personal income tax paid to the Treasury was cut by 1 per cent as of the beginning of 2006, from 24.75 per cent to 23.75 per cent. The average municipal income tax collected under the PAYE system amounts to 12.97 per cent in 2006 (12.98 per cent in 2005). The total PAYE income tax rate is thus 36.72 per cent.

The basic annual tax credit was set at 348,343 krónur in 2006.

Child benefits were increased, see section 6.2.1 above.

The unemployment compensation system was amended. Compensation was linked to past employment income for the first three months of unemployment, subject to a maximum of 180 000 krónur per month. See section 2.2.1 above.

1.2 Policy changes announced

None that apply specifically to the areas of wages, income taxes and benefits. A related development is the passage of legislation in 2006, coming into effect at the beginning of March 2007, whereby the value added tax on foodstuffs and several other items is cut to 7 per cent from the previous rates of 14 and 24.5 per cent.

¹ Heimild: Sjá reglugerð um fjárhæð atvinnuleysistrygginga nr. 548/2006; <http://www.stjornartidindi.is/Advert.aspx?ID=30d631a8-76e7-4217-a222-08f870b5911c>

³ Sjá reglugerð um húsaleigubætur nr. 118/2003. Eignafjárhæðin breytist árlega, og verður að sækja þær upplýsingar með því að hringja í félagsmálaráðuneytið. eða fara inn á þessa heimasíður: <http://www.felagsmalaraduneyti.is/media/acrobat-skjol/Leiga10.pdf>

⁴ Þessar upplýsingar er best að sækja í skjal ráðuneytisins, Principal Tax Rates, sem endurnýjað er árlega.

⁵ Sjá einnig Principal Tax Rates.

⁶ Fara inn á vefsíðu www.reykjavik.is, síðan inn á þjónustusíður, svo inn á eitthvert tiltekið hverfi, td. Árbær, þar inn á leikskóla, svo inn á “Beiðni um niðurgreiðslu ...”, svo á “Niðurgreiðslur til dagforeldra ...”, http://www.rvk.is/Portaldata/1/Resources/skjol/svid/menntasvid/pdf_skjol/Upphaedir_nidurgreidslu_010107.pdf Piece of cake!

⁷ Fara inn á www.reykjavik.is, leikskólar, gjaldskrár; http://www.rvk.is/Portaldata/1/Resources/skjol/svid/menntasvid/pdf_skjol/Upphaedir_nidurgreidslu_010107.pdf

⁸ Í raun eiga þessar greiðslur að vera skattskyldar, en tkju- og lagaskrifstofa uppástendur að það sé ekki svo í praksís.

⁹ Sjá vef Tryggingastofnunar ríkisins, www.tr.is

¹⁰ Skv. 9. gr. l. nr. 22/2006.

¹¹ Best ađ nota uppl. í Principal Tax Rates.